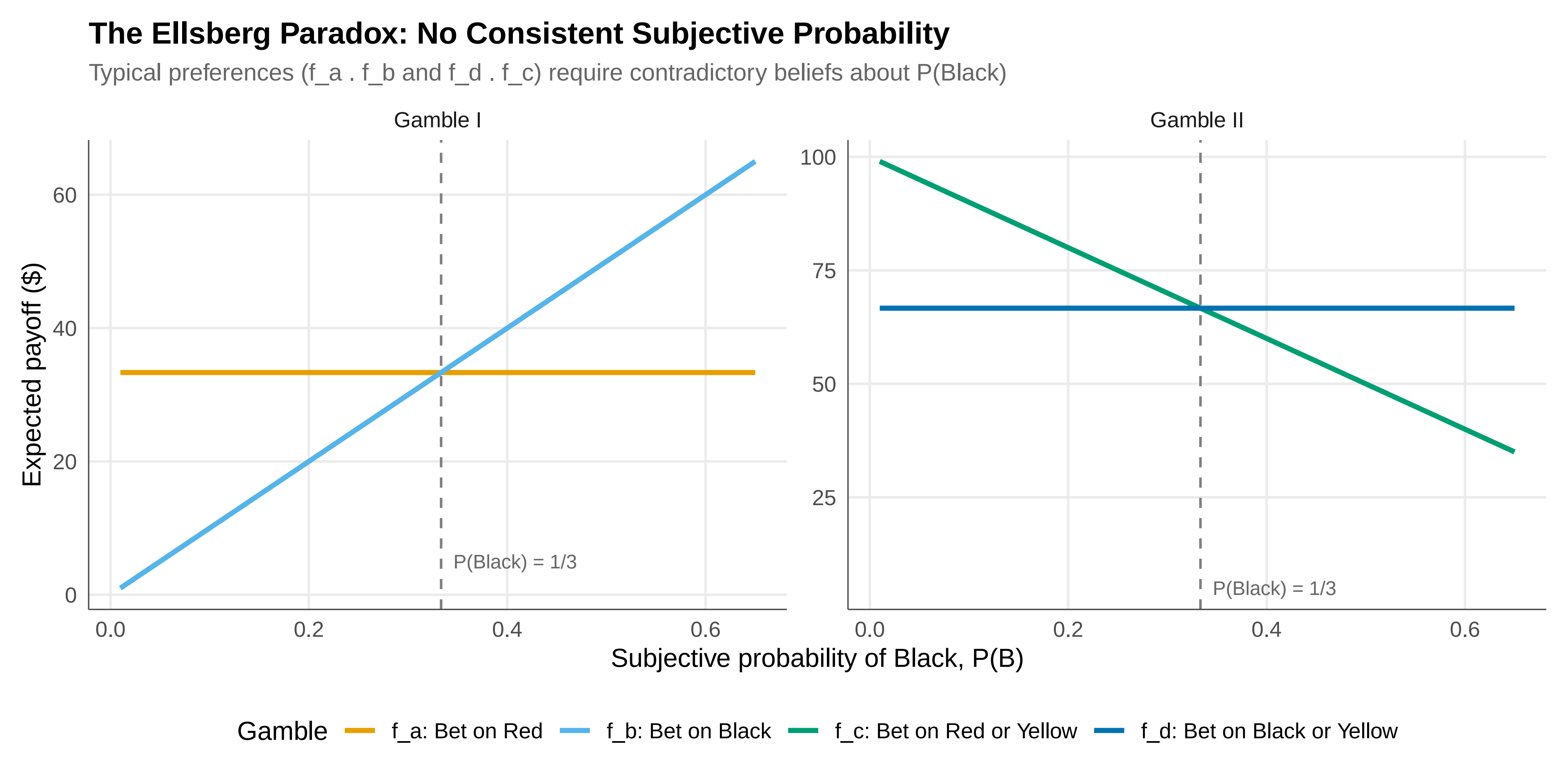
The Ellsberg Paradox: No Consistent Subjective Probability
Typical preferences (f_a . f_b and f_d . f_c) require contradictory beliefs about P(Black)
Gamble I
Gamble II
Expected payoff ($)
0
20
40
60
25
50
75
100
P(Black) = 1/3
P(Black) = 1/3
0.0
0.2
0.4
0.6
0.0
0.2
0.4
0.6
Subjective probability of Black, P(B)
Gamble
f_a: Bet on Red
f_b: Bet on Black
f_c: Bet on Red or Yellow
f_d: Bet on Black or Yellow